SCCD-X v2.00 · PROSE READING · THE 2027 FORECAST

Lao PDR (LA)

Six years to the legitimacy floor

Run 2026-10-09 · horizon to end-2027 · LSODA

The figures this reading rests on

Band	Tier	Mode	Ψ 2027	θ_{25}	Δ_norm	R_B
Equilibrium	Coherent	VIOLENT-ADJUSTMENT EXPOSED	0.721	1.000	+0.023	0

Loops L6 · Nearest gate s3 ~6y · At 15 years Crisis / Incoherent

Laos has the shortest fuse in the region: $\hat{S}_3$ reaches its 0.30 PAPER floor in about six years on current drifts. It reads Equilibrium / Coherent through 2027 with one loop running, and VIOLENT-ADJUSTMENT EXPOSED as its mode — one of only two polities in that category. At fifteen years the reading is Crisis / Incoherent.

This is the clearest L6 case in the region on measured numbers alone, with the least interpretive work required. The IMF's February 2026 Article IV calls public debt unsustainable and the country in external and overall debt distress — even though the debt-to-GDP ratio is falling, from 80.6% in 2025 to a projected 68.6% by 2027. Inflation returned to around 10% by April 2026 after two episodes above 20% inside four years. The US State Department's 2026 investment statement holds that IMF figures undercount the liabilities to China.

Against that, social protection covers 2.2% of the population and pension coverage 2.2%. There is essentially no buffer between a household and a price shock. That combination — a state under extraction pressure and households with no institutional protection — is why haven reallocation is coded at 0.58, above the L6 trigger. Two episodes of 20–30% inflation inside four years teach a household what the kip is worth, and the response is to hold something else.

The adjustment mode is the other thing to notice. Laos routes its adjustment pressure down the violent channel because d_3, adjustment autonomy, is 0.19 — the second-lowest in the region. That variable is the router: it measures the availability and use of voluntary instruments, contraception and financial planning and welfare substitution for old-age support. Where those are absent, Degrow's model says pressure discharges the ancient way. Laos's d_1 carrying-capacity load is 0.84 and d_5 surplus youth 0.80, both among the highest here.

The unrest drawdown is set at 0.10 rather than zero, and the reasoning is worth stating because it is not obvious: there is no protest channel in Laos, so the legitimacy drawdown does not surface as visible unrest. It surfaces as exit and informality instead. Vulnerable employment is 76.4%, the highest in the region by a wide margin.

The stress branch

A debt event on liabilities the IMF already calls unsustainable, plus inflation back through 10%, takes Ψ from 0.721 to 0.608 without moving the verdict. Laos has more short-run absorption than its fundamentals suggest, largely because fragmentation is very low ($\hat{C}_5$ = 0.19) and Ψ carries a $(1-C_5)$ factor.

What would have to be wrong

One parameter flips the verdict: a4_flight_thresh, which switches L6 off. So the single mechanism the engine identifies for Laos rests on one ANALYST threshold. The measured fiscal distress is not in question; whether it expresses itself as the legibility spiral specifically is.

What to watch in 2027

— Inflation. It is both the extraction squeeze and the haven driver, and it is the most frequently published number Laos produces.

— Any restructuring of the China-held debt, and whether the terms become public. The State Department's claim that the obligations are undercounted is the largest unknown in this row.

— Social-protection coverage off a 2.2% base. Movement here would be the single most load-bearing change available to the Lao state.

— Labour outflow to Thailand. The engine's talent gradient scores LA→TH as the strongest pair in the region.

What the engine does not say

A Coherent tier in 2027 alongside a six-year $\hat{S}_3$ gate is not a contradiction — it is the engine distinguishing present consistency from the direction of travel. Reading only the 2027 band would miss the entire Laos story.

This is INTERPRETATION, not engine output. The engine emits a band, a tier, a mode, a loop set and a gate order; it does not emit an argument about what they mean. The companion technical report (SCCDX-2027-LA-en.pdf) carries the numbers and provenance tags this reading stands on.